Teamwork Portfolio: Corporate Volunteering Initiative Proposal

Proposal For Ernst & Young LLP (EY)

Team: Section Seven

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Company Profile

The corporation that we selected as the subject of our proposal is Ernst & Young LLP (hereafter "Ernst & Young," "the Company", "the Firm", or "EY"), a multinational professional services firm which offers a comprehensive range of services, including corporate tax, audit, assurance, strategy consulting, and advisory services. Founded in 1989 in the United Kingdom, the Company's services are catered primarily towards large global corporations such as Google, Amazon, and Apple. EY is a global firm, operating in 150 countries with over 700 office locations, 150 of which are located in the United States. The Firm is extremely large in terms of personnel as well, employing nearly 400,000 people worldwide who work across the Company's various lines of business. In FY-24, the Company generated $51.2 billion USD in revenue, making them the third largest accounting services firm in the world.

EY has a longstanding record of demonstrating the Company's emphasis on upholding a sense of Corporate Social Responsibility (CSR). This organizational culture of being community focused is exemplified through several programs, one of which is the Company's quarterly "EY Connect Day". This initiative, which we plan to extensively build on, includes employee community service in regions across North and South America. Given that EY clearly values volunteerism, showcased by over 15,200 employees volunteering in 2023, the Company is an excellent fit for our proposal. EY has historically supported a variety of causes, which range from helping youth relief foundations to cleaning up nature sites. In addition to the previously mentioned programs, the Company's "EY Foundation" provides job opportunities for low income individuals, providing assistance for 24,000 young people since FY 2014. The Company is also a leader in enhancing climate sustainability. Each of these programs play an important role in the strength and connectivity of EY as a whole, because they help build relationships and form connections between team members and support the surrounding communities.

The Company's demonstrated focus on giving back to the communities in which they operate is one of the primary reasons why we believe they are an ideal candidate to implement a more narrow-focused corporate volunteering program. In the United States, EY's three headquarters are located

in Washington, D.C., Charlotte, NC, and New York City, NY. These are some of the largest urban centers in the United States, and while they differ from one-another in many ways, all three cities have the same looming issue: widespread homelessness. In this proposal, we will outline why we believe that EY is uniquely positioned to launch a new, comprehensive volunteering initiative to assist these communities in reducing, and working to eradicate, homelessness.

Community Need

EY's central headquarters is located in New York City, New York. It goes without saying that urban metropolitan areas like New York City have several key issues that governments are working to address, but homelessness stands out as a leading area of concern. According to a report by The New York City Council, homelessness impacts 350,000 people in New York City (Johnson NYC Council). This is a disproportionate portion of the population, even relative to other major cities. That said, we've decided to create a corporate volunteering initiative through a partnership with EY, which aims to get people off of the streets, build more shelters to temporarily house those people, and support their longer-term financial stability to avoid a recurrence of homelessness. Currently, over 70% of people experiencing homelessness in New York City are receiving ultra-short-term housing in shelters, but the target number for a city like this would be closer to 85% (Coalition for the Homeless). Homelessness continues to persist and also increase in this region, due to the heightened lack of affordable housing options available within the city and its surrounding municipalities. In addition, more than 100,000 children in New York City experienced homelessness between 2022 and 2023. This is a shocking statistic, as it represents around 10% of all school-aged children in the city (Coalition for the Homeless). Despite continued efforts by local, state, and federal governments to provide resources to this ongoing crisis, the issue of homelessness persists. This is largely because the government-sponsored funding and human capital allocated to volunteering initiatives on this particular topic are simply not sufficient. For example,

the state of New York has funded the construction of affordable housing for the homeless but is only building 30,000 units when over 350,000 are necessary.

For this reason, incorporating resources from the private sector through partnerships with large corporations, like Ernst & Young, is the most viable potential solution. EY can be more beneficial than some state programs since corporations have large amounts of capital that they can use to fund projects, such as building shelters, and make a long-lasting impact on the New York City community. This is especially true as it pertains to the issue of homelessness, because assisting with this topic doesn't require excessive knowledge, experience, or training to add value.

As an accounting firm, EY offers an additional synergy through which the Company could establish a program providing free or reduced-cost services to homeless community members who are struggling to regain financial stability or secure roles in the workforce. This offers a dual-purpose, two-phase program in which EY could assist with the first step of initially getting these individuals housed through hands-on volunteer work in the communities, and then also guarantee additional support afterward through complementary service offerings to ensure individuals remain employed and housed. EY can also offer pro bono consulting work on company time where employees can indirectly contribute on projects which help the homeless through consulting on relevant client work.

We acknowledge that homelessness is a widespread and multifaceted problem, and that this solution isn't capable of entirely eliminating the issue. However, getting people off the streets and into shelters makes a meaningful difference, both in the lives of those helped and in the aggregate. Supplementary services for those in shelters, such as handing out food, supplying clothing items, and collecting other essentials, go a long way for individuals without the necessities they need to survive. Moreover, this corporate-government partnership program could work in collaboration with the other initiatives that are already in place to target the issue, such as the Homeless Housing and Assistance Corporation (HHAC) and The Capital Program Unit (CPU) (OTDA). Ernst & Young, a company built on establishing strong partnerships with clients, is an ideal candidate for integration into these pre-existing

programs and could streamline improvements to initiatives that enable people to find housing and shelters, enabling them to stay safe during the cold and remain off the streets.

Potential Impact

The implementation of a corporate volunteering initiative will have significant impacts on Ernst & Young in several ways, including enhancing the Company's Corporate Social Responsibility (CSR) footprint, promoting skill-building for employees, and addressing an unresolved community need. Ultimately, if carried out successfully, these initiatives will contribute to both positive social change in society and ideal reputational outcomes for the Company.

One of the ways in which a proven commitment to Corporate Social Responsibility (CSR) can benefit a firm like EY is a boost in the Company's public image. Showcasing a broader mission beyond revenue generation builds a sense of trust and loyalty among clients, partners, and other external stakeholders. Volunteer initiatives are most effective when catered to align with customer values, and support causes that are front of mind. For citizens of New York City, homelessness is a topic which the average person is reminded of daily, and EY's initiative on this particular issue is likely to catch the eye of customers. It has been proven, by both EY and other firms across industries, that customers are more likely to gravitate towards and remain loyal to companies which remain actively involved in their local communities.

Internally, corporate volunteer initiatives also enhance the employee experience, by teaching skills such as collaboration, problem-solving, and communication among team members. Volunteering also offers employees the chance to acquire new skills that may not be directly connected to their usual job responsibilities. This adds to the value proposition of the Company as an employer, since it provides employees with unique opportunities for personal growth and development, allowing individuals to explore different areas and expand their skills. By engaging in volunteer activities, employees can also

enhance their leadership and project management abilities, which ultimately contribute to their career advancement within the Firm. This type of work is an excellent way to expand employee's horizons and introduce new perspectives that they might not have otherwise had exposure to, which can get them out of their comfort-zone and support adaptability in the workplace. Corporate volunteering, and volunteerism as a whole, has also been proven to improve mental health and drive personal growth. This directly ties back to productivity within the workplace, since employees who experience generally lower stress-levels and improved overall well-being are more conducive to maximizing EY's productivity and output.

Volunteer initiatives can also impact the business world around you. By volunteering, other businesses will be inclined to do the same, leading to a "ripple effect", something EY has spoken to.

Volunteer Initiative

Our proposal is that Ernst & Young (EY) should implement a corporate volunteering program, in addition to the Company's other Corporate Social Responsibility (CSR) initiatives previously discussed, which focuses specifically on assisting the homeless population within New York City. To accomplish this, our proposed program includes two separate but interconnected initiatives: a hands-on approach to immediately provide support to homeless individuals, and a long-term partnership to create more efficient processes and provide resources to individuals helped.

The first portion will involve Ernst & Young employees getting directly involved through corporate-organized volunteer activities. These volunteer activities will take place during work hours, and employees will be compensated for their time as if they worked a normal day in the office. EY will appoint a volunteer program manager for each department, to oversee volunteering schedules and track employee performance. Some tasks that employees should expect to complete are cooking or serving food, preparing rooms for occupants, and even providing interaction and conversation for people staying. The goal of this portion of our program is to get employees directly involved with the homelessness crisis

on the ground, which broadens their understanding of the issue. This phase will prepare employees for the next portion of our proposal, and help them better appreciate the importance of the work they'll be doing.

The second portion of this proposal aims to increase the longevity of EY's impact on alleviating homelessness, through the implementation of a pro-bono strategy consulting program which leverages the professional expertise of EY's staff to help homeless shelters and recently homeless people address operational, financial, and strategic challenges. Ideally, this initiative would include an established partner organization which provides a direct pipeline to shelters and the homelessness community in New York City. We've identified a potential pilot partnership with Covenant House New York (CHNY), the city's largest provider of shelter and transformative services for youth experiencing homelessness, which operates twenty-four hours a day, seven days a week, and three hundred sixty-five days a year.

We also identified CHNY as an ideal partner for a potential pilot program due to the organization's prominence as a leader in supporting homeless youth as well as CHNY's close proximity to EY's headquarters. Located merely 1.3 miles from EY's building, the organization facilitates a partnership that is both impactful and logistically practical. Additionally, CHNY has already partnered with Morgan Stanley, showcasing the organization's willingness to establish partnerships with major corporate firms. This partnership, as well as other partnerships with similar organizations, would be mutually beneficial for the Firm, would enhance long-term Corporate Social Responsibility (CSR) for EY, and provide much needed strategic insight for local partners.

This prospective pilot program would leverage EY employees' expertise to deliver their leading consulting services to CHNY. This consulting work would be focused on enhancing shelter operations, financial sustainability, and service delivery while empowering shelter staff with the skills and tools for long-term success. This work could include but is certainly not limited to: plans for increasing capacity, improving resident living conditions, increasing operational efficiency. strengthening financial management and planning, and even implementing needed technological solutions. All EY employees with expertise in strategy consulting, operations, financial management, or technology implementation

will be eligible to participate in this volunteering initiative. Employees will volunteer a set number of hours monthly during work hours as part of a dedicated pro-bono client program. Their time commitment will include any additional training and project management experience necessary to ensure quality of service is high and effective. Funding for the program will come from EY's Corporate Social Responsibility (CSR) budget, supplemented by grants from philanthropic organizations and employee-driven fundraising efforts. The budget will be used to cover essential program needs, including training materials, project management tools, and other operational expenses. This funding can also be allocated to additional resources such as software for project management (e.g., Asana or Trello) and data-sharing tools to ensure seamless collaboration and effective execution of project goals.

To launch the program, EY will recruit a program manager to oversee key aspects, including volunteer recruitment and training, coordination with CHNY, and impact reporting. The first step will involve engaging with CHNY leadership to define the project scopes and areas for implementation. EY will assign employee teams to specific focus areas based on CHNY’s needs, setting clear expectations and establishing a roadmap for the pilot phase. The 6-month pilot at CHNY will focus on measurable goals in areas which may include improving living conditions, streamlining resident intake processes, training staff in leadership and operational best practices.

EY’s volunteers will conduct regular onsite visits to CHNY to gain a thorough understanding of current processes, gather insights, and build strong relationships with shelter staff. Throughout the pilot, EY teams will conduct weekly check-ins to monitor progress, address challenges, and ensure alignment with project goals. Data on pilot outcomes will be continuously gathered, focusing on key performance indicators (KPIs) such as increased service capacity, improved living conditions, and enhanced staff productivity. This ongoing monitoring will provide valuable insights into the initiative’s effectiveness and areas for future improvement.

The pro bono strategy consulting initiative offers a compelling value proposition for stakeholders by delivering tangible business benefits, financial sustainability, and transparent reporting. It enhances

EY's brand reputation by attracting clients and talent who prioritize corporate responsibility while reducing employee turnover through increased job satisfaction and engagement. By positioning EY as a leader in corporate social responsibility, the initiative differentiates the Firm in competitive markets. Financially, the program leverages tax benefits and existing CSR budgets, creates indirect revenue opportunities through strengthened client relationships, and utilizes employee downtime for impactful work. Regular impact reports will ensure transparency, showcasing both social and financial returns through success stories from partner shelters, employee engagement metrics, and ROI analyses that highlight the program's contribution to EY's brand and business goals.

Company Metrics

Ernst & Young operates with the motto of *"building a better working world"*, which closely aligns with the mission of this corporate volunteering initiative. That said, the Company is still a for-profit business, not a charity, and therefore has obligations to the Firm's partners and employees to maximize revenue generation and stakeholder returns. Thus, it is critically important for EY to put systems in place which accurately gauge the return on investment (ROI) of this initiative in terms of both monetary and human capital, as well as brand image. Establishing a set of key performance indicators (KPIs) to measure program effectiveness isn't a foreign concept to EY, since the Company's strategy consulting division already develops these progress tracking metrics on a regular basis for use on external client projects. Nonetheless, formulating such metrics is an intricate undertaking, since not all aspects of the initiative's mission can be easily measured. Finding a methodology which takes into account all of the ethical, community, and financial impacts and delivers a quantitative result is paramount to ensuring both short-term success during the program's initial rollout and longevity of the initiative into the future.

The first priority is understanding and monitoring the effectiveness of this corporate volunteering initiative for the communities and geographies it serves. Since the Company will be dedicating human and monetary resources to this project, they must be deployed in a way that is responsible and maximizes

their utility. The impact on the homelessness community could be measured on either a case-by-case basis, in terms of the number of individuals directly assisted by staff, or on a broader scale, by analyzing metrics that track an increase of resources or reduced homelessness rates. The primary challenge of the latter methodology would be isolating results from external factors which impact homelessness, both positively and negatively, but are unrelated to the contributions of this program, such as seasonality and changes in policy or government funding. Regardless of what data points are deemed most suitable, the collection could be achieved through the Company's partnerships with local and state governments, which EY already has established in several regions of the United States, as well as through community-based liaison organizations and beneficiaries of the program, since they have more expertise in the field. Understanding the real-world impact of this initiative, and identifying the points of failure, would enable the program to improve over time, optimizing resource allocation and maximizing the value add.

In addition to measuring external outcomes, it's equally important to assess how participation in the initiative affects employee satisfaction, productivity, and retention. As the initiative becomes an established routine and eventually a part of the Company's culture, EY should implement procedures to track the percentage of employees participating and the total hours contributed. Then, to further gauge the benefits for employees who partake and to entice new employees to become involved, the Company should track the difference in retention rates, absenteeism, and internal promotions among employees who participated in the initiative versus those who did not. Finding these data points can be easily accomplished by compiling the readily available data from EY's Human Resources Department. Moreover, of the employees who did participate, surveys should be conducted both before and after participation, focusing on metrics such as job satisfaction, sense of purpose, and organizational commitment. By identifying recurring themes in employee responses and aggregating the results, it becomes possible to measure the program's impression from an employee standpoint.

Another factor worth considering and analyzing is how this program influences the Company's reputation, in terms of displayed commitment to Corporate Social Responsibility (CSR). Ernst & Young

has previously instituted programs and firmwide initiatives, both volunteer-based and otherwise, which have distinguished the Company's reputation as a firm that is strongly committed to promoting excellence in Environmental, Social and Governance (ESG). This is becoming increasingly important when clients assess a Company, and is likely even a consideration for EY's prospective clients when selecting a firm to contract with. The impact of this initiative on public sentiment towards Ernst & Young could be estimated internally, but the most reliable option would be to gauge the impact of the program on the Company's CSR/ESG ratings from a reputable third-party evaluation platform, such as Glassdoor or Bloomberg's ESG scores. An increase in EY's CSR/ESG scores, in tandem with another indicator like increased website traffic data or client inquiry volume, would support the notion that a corporate volunteer initiative is advantageous for the Company to increase its competitive advantage in winning clients.

To fully understand the advantages of this program from a financial standpoint, the Company should first perform an in-depth cost analysis by determining the required monetary investment for implementation, including the loss of potential revenue from temporary employee absences when volunteering, and then asses if the opportunities for additional revenue generation would offset, or ideally exceed, those expenses. In addition to the previously discussed revenue generation potential from increased client demand, the Firm could also cut operational costs through this program by merit of eligibility for tax incentives and deductions, or even using targeted marketing campaigns which showcase the Company's community service work. Conducting this financial analysis isn't a one-time occurance, but rather a continuous process executed by the EY's management team to ensure that the initiative is constantly being improved and remains worthwhile for the Company to allocate resources to. While it's near impossible to predict the effectiveness of this corporate volunteering campaign until it's actually implemented, it is extremely likely to prove advantageous based on EY's historical track record of promoting corporate volunteerism and the resulting increase in the Company's perception.

Conclusion

To summarize, our proposal to Ernst & Young, the multinational professional services firm, is to expand the Company's strong efforts in advancing Corporate Social Responsibility (CSR) through a corporate volunteering program which focuses on alleviating homelessness in New York City. The program has the potential to be mutually beneficial for all parties involved, by improving the quality of life for individuals experiencing homelessness while simultaneously enhancing EY's company profile and image. We're proposing a multifaceted program with two primary initiatives, which utilize EY's workforce and employee expertise to provide assistance to New York City homeless shelters and similar local partnership organizations. As outlined herein, we are confident in this program's ability to make a meaningful impact on the New York City homeless population, improve the operations and breadth of services offered to homeless individuals, positively impact the experience of EY's employees, and improve the Company's public image. Once implemented, we also offered several metrics to measure continued success and find opportunities for improvement to ensure program longevity. In conclusion, this proposal comprehensively outlines how the integration of a corporate volunteering initiative would positively impact EY and the communities they serve.

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